

Chapter Review

Key Terms

Appreciation (An increase in the value of the currency.)

Balance of payment (BoP) (A country's international transaction statement, which includes merchandise trade, service trade, and capital movement.)

Bandwagon effect (The effect of investors moving in the same direction at the same time, like a herd.)

Bid rate (The price to buy a currency.)

Bretton Woods system (A system in which all currencies were pegged at a fixed rate to the US dollar.)

Capital flight (A phenomenon in which a large number of individuals and companies exchange domestic currency for a foreign currency.)

Clean (free) float (A pure market solution to determine exchange rates.)

Common denominator (A currency or commodity to which the value of all currencies are pegged.)

Currency board (A monetary authority that issues notes and coins convertible into a key foreign currency at a fixed exchange rate.)

Currency hedging (A transaction that protects traders and investors from exposure to the fluctuations of the spot rate.)

Currency risk (The potential for loss associated with fluctuations in the foreign exchange market.)

Currency swap (A foreign exchange transaction between two firms in which one currency is converted into another at Time 1, with an agreement to revert it to the original currency at a specified Time 2 in the future.)

Depreciation (A loss in the value of the currency.)

Dirty (managed) float (Using selective government intervention to determine exchange rates.)

Fixed exchange rate policy (A government policy to set the exchange rate of a currency relative to other currencies.)

Floating (flexible) exchange rate policy (A government policy to let supply-and-demand conditions determine exchange rates.)

Foreign exchange market (The market where individuals, firms, governments, and banks buy and sell foreign currencies.)

Foreign exchange rate (The price of one currency in terms of another.)

Forward discount (A condition under which the forward rate of one currency relative to another currency is higher than the spot rate.)

Forward premium (A condition under which the forward rate of one currency relative to another currency is lower than the spot rate.)

Forward transaction (Foreign exchange transaction in which participants buy and sell currencies now for future delivery.)

Gold standard (A system in which the value of most major currencies was maintained by fixing their prices in terms of gold.)

International Monetary Fund (IMF) (An international organization that was established to promote international monetary cooperation, exchange stability, and orderly exchange arrangements.)

Offer rate (The price to sell a currency.)

Peg (A stabilizing policy of linking a developing country's currency to a key currency.)

Post-Bretton Woods system (A system of flexible exchange rate regimes with no official common denominator.)

Quota (The weight a member country carries within the IMF, which determines the amount of its financial contribution (technically known as its "subscription"), its capacity to borrow from the IMF, and its voting power.)

Spot transaction (The classic single-shot exchange of one currency for another.)

Spread (The difference between the offer rate and the bid rate.)

Strategic hedging (Spreading out activities in a number of countries in different currency zones to offset any currency losses in one region through gains in other regions.)

Target exchange rate (crawling band) (Specified upper or lower bounds within which an exchange rate is allowed to fluctuate.)

Chapter 7: Dealing with Foreign Exchange Key Terms

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